

Follow-up Notes from Last Week's Session

We want to point out a few things here:

1. Slide 26: Measures of Accuracy

Phil raised the issue of calibration and discrimination. Here is a follow-up answer:

- **Calibration** measures how accurately an expert's predicted probabilities matched the actual outcomes. If the expert said an event would occur 70% of the time and it did occur 70% of the time, the calibration score would be very high. If 70% was predicted and only 20% was the actual outcome, that would be very poor calibration. It applies to an individual prediction.
- **Discrimination** measures how well an expert could differentiate between likely and unlikely events. An expert who could accurately predict both likely and unlikely events would have a good discrimination score. This shows the ability to choose accurately between varying probabilities and outcomes over many predictions.

2. Slide 32: Forecasting Algorithms

Hugh asked a very technical question about who chose the algorithms used in the forecasting, and what they were.

The brief answer is that there is no way to tell who selected or created them. Several algorithms were used, and it would be awesome if anyone understood them. They included, *inter alia*:

- 1 Crude base-rate algorithms that attach probabilities to outcomes that correspond to the frequencies with which those outcomes pop up in narrowly or widely defined comparison populations of cases.
- 2 (a) Cautious or (b) aggressive cause-specific extrapolation algorithms that, for each state in their sample, predict the continuation of its recent past into its near-term future.
- 3 Formal statistical equations, including, e.g., generalized autoregressive distributed lag models, which are algorithms that piece together optimal linear combinations of predictors from the past.

3. Slides 39-45: Session Summary

If you were not there, you may at least want to go through Slides 39 to 45, which summarize the session.

4. Upcoming Discussion: November 5

Having said all this, we want to emphasize that for the upcoming November 5 discussion about Crowd Wisdom and Crowd Decisions, you do NOT need the background that

participants in last week's meeting acquired. Although the two subjects are related, they are entirely independent! So mark your calendar now for Nov. 5, even if you were not there last Thursday. You are sure to have a lot of fun!